

EQUITY RESEARCH

NIKE, Inc.

NYSE: NKE · Athletic Footwear & Apparel

VERDICT	12-MONTH TARGET	IMPLIED UPSIDE	RISK RATING
BUY	\$46.00	+29%	HIGH
\$35.56	\$52.7B	\$45	4.6%
Price (close 9/18/26)	Market cap	DCF fair value (wtd.)	Dividend yield

Date: September 19, 2026 · Fiscal year ends May 31 · Most recent results: Q4/FY2026 (reported June 30, 2026). Q1 FY2027 earnings are scheduled for October 1, 2026; Investor Day November 16–17, 2026.

Thesis in one paragraph. Nike is the world's largest athletic footwear and apparel company trading at a 12-year low after losing ~79% from its 2021 peak — not because the brand is dying, but because three self-inflicted and cyclical wounds converged: an over-pivot to DTC that alienated wholesale partners, a fashion-cycle rotation away from retro lifestyle franchises, and a China-specific execution failure while Adidas grew 16% in the same market. CEO Elliott Hill's turnaround (wholesale re-engagement, marketplace cleanup, a 'Sport Offense' reorg) is showing early green shoots — North America wholesale up 10% in Q4, positive Foot Locker comps for the first time in four years — but FY2027 is explicitly a transition year with revenue guided down and China getting worse on purpose. At \$35.56 the stock prices in failure: 17× trough earnings (vs. a 5-year average of 28×), a 4.6% dividend yield (highest in the Dow), and a probability-weighted DCF fair value of ~\$45. We rate NKE a **BUY** with **High** risk: a small starter position now, with dry powder reserved for the October 1 print and the November Investor Day.

This report is independent analysis for informational purposes and is not investment advice. All figures are sourced; see Sources (Section 10).

1. Executive summary

Nike closed FY2026 (May 2026) with revenue of **\$46.4 billion — flat** year over year — and diluted EPS of **\$2.10**, down 3%. The headline numbers flatter reality: Q4 included an expected ~\$986 million recovery of IEEPA tariffs that added ~900 bps to gross margin and \$0.52 to EPS. Excluding it, FY2026 EPS was closer to **\$1.58** and underlying gross margin ~40.8%, still below the 43–46% Nike earned in FY2021–24. The business is a tale of two channels: **wholesale rebounded** (+6% for the year, +10% in North America in Q4) as Hill re-engaged retail partners, while **Nike Direct deteriorated** (–6% for the year, digital –12%). Greater China fell 13% currency-neutral for the eighth straight declining quarter; Converse collapsed 31% to \$1.2B. The balance sheet remains investment-grade (\$9.0B cash vs. \$7.9B debt), but free cash flow fell to \$2.2B and the dividend now consumes more than underlying net income — buybacks were effectively paused at \$123M.

Metric	Value	Metric	Value
Share price (9/18/26 close)	\$35.56	52-week range	\$35.50 – \$76.97
Market capitalization	~\$52.7B	Shares outstanding (diluted)	~1.48B

Metric	Value	Metric	Value
YTD / 1-yr / 5-yr price return	−44.3% / −49.9% / ~−76%	Beta	1.06
TTM P/E (GAAP) / forward P/E	~17× / ~18–21×	EV / EBITDA (TTM)	~9.0×
Dividend (FY26) / yield	\$1.63 / 4.6%	Net debt / (cash)	~\$(1.1)B net cash
Consensus rating / avg. target	Hold–Buy / ~\$48	Our 12-mo target / upside	\$46.00 / +29%

Figure notes: price, market cap, 52-week range, beta, returns via Finnhub/MarketBeat/Robinhood quote pages, Sep 18–19, 2026. P/E and EV/EBITDA per Forbes/Finnhub; net cash = \$9.0B cash & ST investments less \$7.9B total debt (FY26 10-K). Consensus target ~\$48 average across aggregators (range \$30–\$75).

2. Company & business overview

Founded in 1964 as Blue Ribbon Sports and headquartered in Beaverton, Oregon, NIKE, Inc. is the **largest seller of athletic footwear and apparel in the world**. It designs and markets products under the Nike, Jordan (Jumpman) and Converse brands across footwear, apparel, equipment and accessories, selling through wholesale partners (~18,000 retail accounts worldwide), Nike Direct (company-owned stores plus Nike Brand Digital, including the Nike App and SNKRS), and independent distributors. Reportable segments are North America, EMEA, Greater China, Asia Pacific & Latin America (APLA), Global Brand Divisions, Converse, and Corporate.

Leadership. Elliott Hill became President & CEO in October 2024, returning after 32 years at Nike. His turnaround program — dubbed the **'Sport Offense'** — reverses the prior DTC-first strategy: re-engaging wholesale (Foot Locker, Dick's and others), cleaning up excess inventory and discounting, cutting retro-lifestyle overexposure, and reorganizing around sport verticals with dedicated teams for sportswear and Jordan. CFO Matthew Friend is being succeeded by an external hire ('Denton') who started August 17, 2026; the chief accounting officer/controller resigned effective September 4, 2026, with the new CFO doubling as interim controller — a finance-function transition to watch into the November Investor Day. Executive Chairman is Mark Parker.

FY2026 revenue mix (year ended May 31, 2026; per Q4 FY26 press release):

Category	FY2026 revenue	Reported y/y	Currency-neutral y/y
Nike Brand footwear	\$29.5B	flat	−2%
Nike Brand apparel	\$13.4B	+4%	+2%
Nike Brand equipment	\$2.2B	flat	−2%
Total Nike Brand	\$45.2B	+1%	−1%
Wholesale	\$27.5B	+6%	+4%
Nike Direct (stores + digital)	\$17.7B	−6%	−8%
of which: Jordan Brand	\$7.0B	−3%	−5%
Converse	\$1.2B	−31%	−32%
Total NIKE, Inc.	\$46.4B	flat	−2%

Geography: North America grew in Q4 (+3% reported; wholesale +10%), EMEA fell 6%, APLA fell 1%, and Greater China fell 17% currency-neutral. Full-year Greater China revenue was \$5.85B (−11% reported / −13% c-c) with EBIT down 20% to ~\$1.3B — its eighth consecutive declining quarter. The US is now ~44% of revenue by subtraction rather than growth, raising tariff and consumer-cycle concentration.

3. Financial deep-dive

Income statement trend. FY2025 was the reset year — revenue fell 10%, operating margin compressed to 8.0%, and FCF was cut roughly in half. FY2026 stabilized revenue but earnings quality deteriorated: the IEEPA tariff recovery (~\$986M pre-tax in Q4) is non-recurring, and without it EPS would have been ~\$1.58 rather than \$2.10.

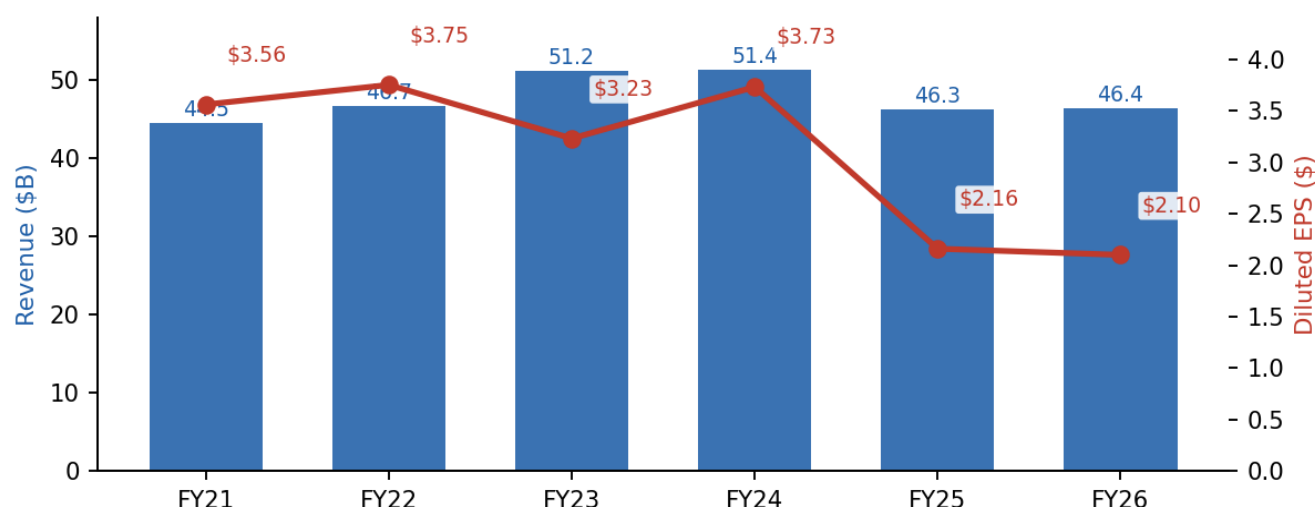
\$ millions except per-share	FY21	FY22	FY23	FY24	FY25	FY26
Revenue	44,538	46,710	51,217	51,362	46,309	46,398
Revenue growth	—	+4.9%	+9.6%	+0.3%	−9.8%	+0.2%
Gross profit	19,962	21,479	22,292	22,887	19,790	19,911
Gross margin	44.8%	46.0%	43.5%	44.6%	42.7%	42.9%*
SG&A;	13,025	14,804	16,377	16,576	16,088	16,114
Operating income	6,937	6,675	5,915	6,311	3,702	3,797
Operating margin	15.6%	14.3%	11.5%	12.3%	8.0%	8.2%
Net income	5,727	6,046	5,070	5,700	3,219	3,108
Diluted EPS (GAAP)	\$3.56	\$3.75	\$3.23	\$3.73	\$2.16	\$2.10*
Operating cash flow	6,657	5,188	5,841	7,429	3,698	2,868
Free cash flow	5,962	4,430	4,872	6,617	3,268	2,184

* FY2026 includes the expected IEEPA tariff recovery (~\$986M pre-tax; +210 bps to full-year gross margin; +\$0.52 to Q4/FY EPS). Ex-tariff FY2026: gross margin ~40.8%, diluted EPS ~\$1.58. FY21–25 per 10-K filings via MarketBeat/Zacks compilations; FY26 per June 30, 2026 release and 10-K.

Key reads:

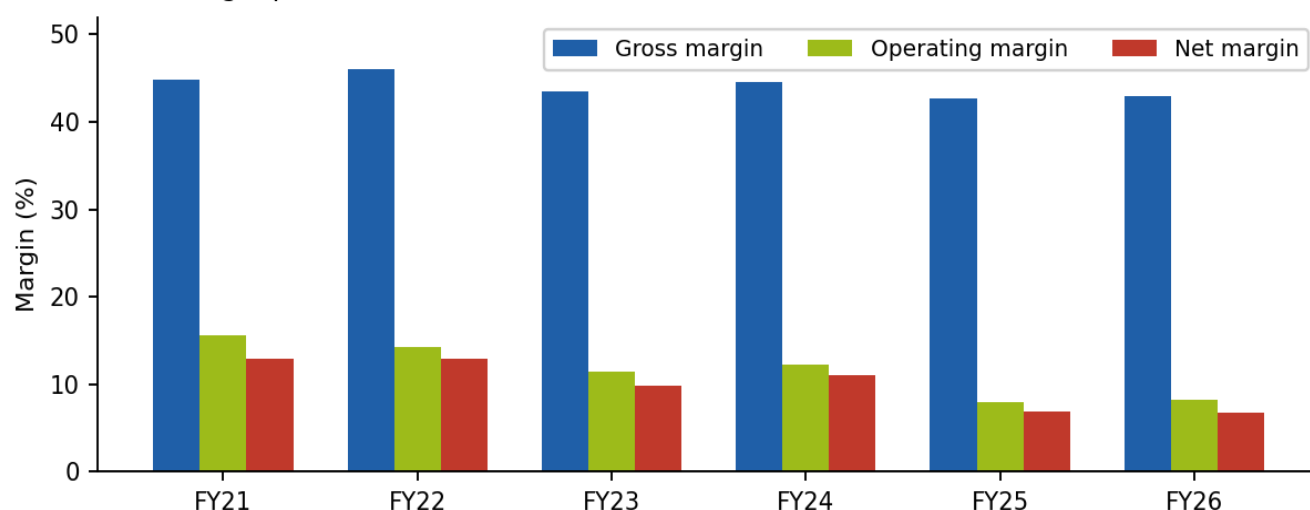
- **Margins are troughing, not recovered.** Gross margin of 42.9% is 170–310 bps below the FY21–24 range; ex-tariff it is ~40.8%. SG&A; was flat at \$16.1B only because severance and FX headwinds offset cost discipline — demand-creation spend actually rose 1% to \$4.8B. Q4 SG&A; fell 2% to \$4.1B (37.2% of revenue) and Q4 EBIT margin hit 12.0% including tariffs — early evidence the cost base is responding.
- **Cash conversion weakened.** Operating cash flow fell 22% to \$2.87B, driven by a \$1.68B working-capital drag — notably a jump in accounts receivable to \$5.9B from the outstanding IEEPA tariff receivable plus higher wholesale shipments. Capex was \$684M; FCF of \$2.18B fell 33%.
- **Channel inversion is the story.** Wholesale (+6%) more than offset Direct (−6%); Nike Brand Digital fell 12% for the year and 25% in Greater China in Q4. Management is deliberately sacrificing near-term Direct revenue to restore full-price health — gross margins are guided to turn slightly positive starting Q1 FY27.
- **Balance sheet: solid but less fortress-like.** \$9.0B of cash & short-term investments vs. \$7.9B of total debt (\$2.0B current + \$5.9B long-term); net cash ~\$1.1B. Inventories flat at \$7.5B — the multi-year glut is cleared. But shareholder returns are now dividend-only: \$2.4B of dividends (+5%; \$1.63/share) plus just \$123M of buybacks (1.8M shares) under the \$18B authorization. The dividend payout was 77% of GAAP net income — and **~103% of ex-tariff net income** — a coverage flag worth monitoring.

Nike revenue and diluted EPS, FY2021-FY2026



Nike revenue peaked in FY2024 at \$51.4B and has been flat-to-down since; diluted EPS has fallen 44% from the FY2022 peak of \$3.75. FY2026 GAAP EPS of \$2.10 includes the \$0.52 non-recurring tariff benefit.

Nike margin profile, FY2021-FY2026



Operating margin has nearly halved from the FY2021 peak (15.6% → 8.2%); gross margin ex-tariff (~40.8% in FY26) sits ~300–500 bps below the FY21–22 level. Recovery of both is the core of the bull case.

Q4 FY2026 snapshot (the quarter that set the FY27 bar): revenue \$11.0B (–1% reported / –4% c-c); wholesale \$6.6B (+4%); Direct \$4.1B (–7%); gross margin 49.2% (+890 bps incl. ~900 bps tariff benefit); net income \$1.1B (+407%); EPS \$0.72 incl. \$0.52 tariff benefit (\$0.20 ex-benefit, vs. \$0.11 consensus). North America +3% (wholesale +10%; positive Foot Locker comps for the first time in four years); Greater China –17% c-c; EMEA –6%; APLA –1%.

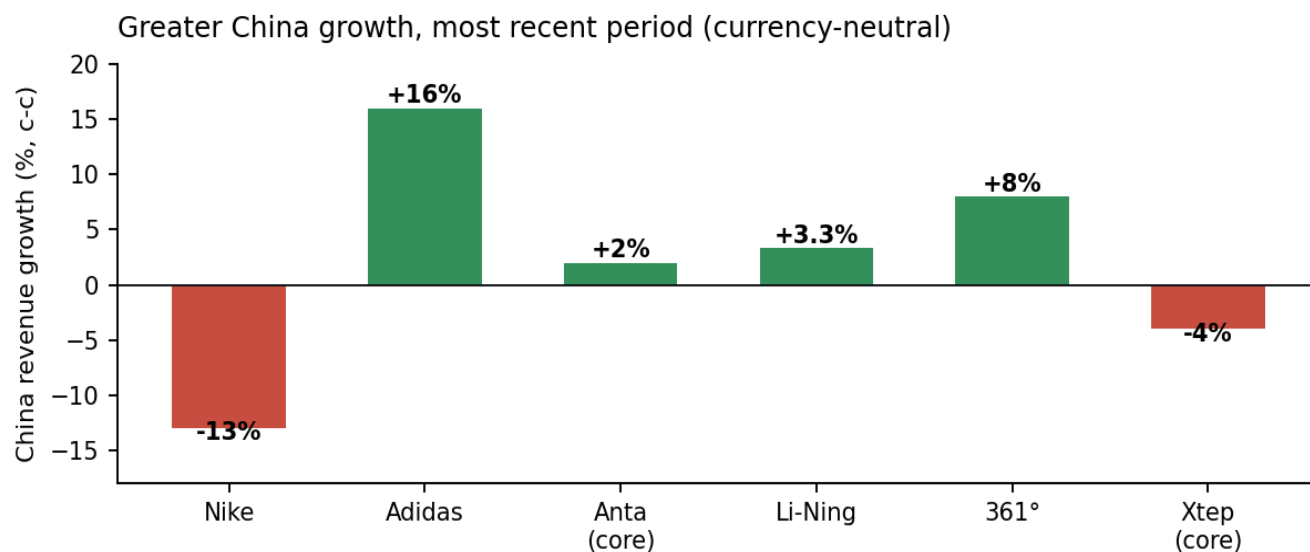
FY2027 guidance (June 30 call; no full-year guide — deferred to the November Investor Day): Q1 FY27 revenue down **low-to-mid single digits** with no FX benefit; Q2 to decelerate sequentially on a 'multipoint headwind' (EMEA digital-promo comps, a North America wholesale shipment-timing anomaly); cumulative H1 EPS roughly **flattish excluding the tariff benefit**, with the mix shifting toward lower revenue but higher gross margins (turning slightly positive from Q1). Tariff headwinds persist through Q1 FY27; margin expansion is expected from Q2. For calendar 2026, management guides revenue down a low-single-digit percentage, with North America growth offset by China declines. UBS (September) expects a ~\$0.05 Q1 EPS miss and sees Q2 EPS of \$0.31–0.43 vs. \$0.53 consensus — the near-term bar is low, but so is visibility.

4. Growth drivers, moat, and future projections

Moat assessment: wide but narrowing. Nike's moat rests on four pillars: (1) **brand equity** — still the most recognized athletic brand globally, with the Swoosh, Jordan and Converse in the portfolio; (2) **athlete IP** — lifetime/flagship relationships (Cristiano Ronaldo's reported \$1B lifetime deal, LeBron James, and a newly extended long-term Victor Wembanyama deal with a signature line, July 2026); (3) **innovation** — Nike Air, ZoomX and React platforms, Vaporfly/Alphafly racers that reset marathon records; and (4) **scale** — \$46B of revenue funding R&D; and marketing at a level no challenger can match. The moat is intact but has demonstrably narrowed: share losses to Hoka/On in performance running, to Adidas in China and lifestyle, and fashion-cycle fatigue in retro franchises show the brand no longer converts automatically into growth.

Growth drivers under the turnaround:

- **Wholesale reset.** The deliberate reversal of the DTC over-pivot is working where it matters: North America wholesale +10% in Q4, positive Foot Locker revenue and retail-sales comps for the first time in four years. Wholesale is higher-velocity and lower-cost than Nike's own digital operation, and partner sell-through is the cleanest read on brand health.
- **Performance-product pipeline.** Management cites momentum in performance running and says **more than a dozen new footwear styles — new silhouettes leveraging innovation, not retro reissues — launch in H2 FY2027**. Hill: 'This work will take time to scale.' The 2026 FIFA World Cup (Nike kitted 12 of 48 nations) was a brand showcase, though share of kits fell from ~40% at Qatar 2022.
- **China reset — the swing factor.** Nike is executing a 'comprehensive reset': local product creation, sport-led storytelling, and a July 2026 **distributor overhaul severing thousands of online distributors effective January 1, 2027** to kill discount-driven marketplace pollution. Management says the cleanup keeps revenue pressured through FY2027 but that **profitability 'should bottom sooner'**. Digital full-price realization is improving and China inventory fell double digits — the right leading indicators, even as reported revenue keeps falling.
- **Margin normalization.** Gross margin ex-tariff (~40.8%) has 300–500 bps of recovery potential toward the historical 43–46% band as promotions normalize, freight/tariff headwinds ease from Q2 FY27, and mix shifts back to full-price performance product. Every 100 bps of gross margin on ~\$47B of revenue is worth ~\$0.25 of EPS.
- **Capital allocation optionality.** With net cash and a \$18B buyback authorization barely touched (\$123M used in FY26), any stabilization of earnings would let Nike resume meaningful repurchases at 12-year-low prices — powerful EPS leverage the market is not pricing in.



Nike's -13% c-c decline in Greater China is a Nike-specific execution failure, not a structural rejection of Western brands: Adidas grew +16% c-c in H1 2026 in the same market, and the domestic champions (Anta core low-single-digit, Li-Ning +3.3% on promotions, Xtep core negative) are not absorbing Nike's lost volume — it is fragmenting to Adidas and premium specialists. That makes the problem fixable, but also removes the macro

excuse.

Our projections (base case). We model FY2027 as the transition trough — revenue roughly flat with H1 declines offset by H2 stabilization, margins beginning to recover from Q2 — followed by mid-single-digit growth as the pipeline scales and China laps the distributor reset. Key assumptions: gross margin recovers ~100–150 bps/year toward 44% by FY29; SG&A; grows slower than revenue (operating leverage returns); tax rate ~19–20%; share count roughly flat (buybacks offset SBC until earnings stabilize).

Base case	FY26A	FY27E	FY28E	FY29E
Revenue (\$B)	46.4	47.0	49.5	52.2
Revenue growth	+0.2%	+1.3%	+5.3%	+5.5%
Gross margin	42.9%*	41.5%	42.8%	43.6%
Operating margin	8.2%	8.8%	10.8%	12.2%
Diluted EPS (\$)	\$2.10*	\$1.90	\$2.70	\$3.40
Free cash flow (\$B)	2.2	2.6	3.3	4.0

* FY26 GAAP incl. \$0.52/share tariff benefit (ex-benefit EPS ~\$1.58; ex-benefit gross margin ~40.8%). Our FY27E EPS of \$1.90 sits between Argus (\$1.70) and the June-vintage consensus (~\$1.9); one aggregator's \$3.00 FY27E looks stale against management's 'flattish H1 ex-tariff' guide and we do not use it. FY28E \$2.70 vs. Argus \$2.25 — our bull-leaning H2 FY27 pipeline assumption is the difference, and the key forecast risk.

5. Product evaluation

Franchise scorecard. Nike's portfolio splits into performance (running, basketball, football/soccer, training) and sportswear/lifestyle (retro and heritage silhouettes). The last three years over-indexed on the latter — Air Force 1, Dunk and Air Jordan 1 flooded the market through DTC, training consumers to wait for discounts and hollowing out full-price credibility. That is the fashion-cycle half of Nike's problem, and Hill's team is explicitly correcting it: fewer retro reissues, more innovation-led silhouettes, tighter marketplace supply.

Franchise / line	Status	Assessment
Pegasus / Vomero (daily trainers)	Core	Workhorses of the running line; Vomero has been a bright spot in performance running's rebound.
Vaporfly / Alphafly (racers)	Leadership	Still the reference marathon racers; the halo that authenticates the running brand.
Air Force 1 / Dunk	Fatigued	Oversupplied during the DTC push; the epicenter of discounting and the deliberate pullback.
Air Jordan (Brand: \$7.0B, –3%)	Resetting	Cultural icon but overexposed; dedicated Jordan team now in place under the Sport Offense.
Football (soccer)	Pressured	World Cup kits down to 12/48 nations; On's signing of Mbappé (Sep 2026) attacks this stronghold directly.
New H2 FY27 pipeline (12+ styles)	Watch	Innovation-led, not retro — the single most important product catalyst; unproven at scale.
Nike App / SNKRS / Membership	Underused	Best-in-class digital assets starved by the Direct pullback; digital –12% in FY26.
Converse (\$1.2B, –31%)	Distressed	EBIT –93%; 490 bps gross-margin contraction on discounting and reset costs. Turnaround or exit candidate.

Net: the innovation engine (Air/ZoomX platforms, racing halo) is intact and the pipeline is the most promising in three years, but Nike must prove it can create *new* cultural hits rather than re-monetize old ones, and must do it while Converse

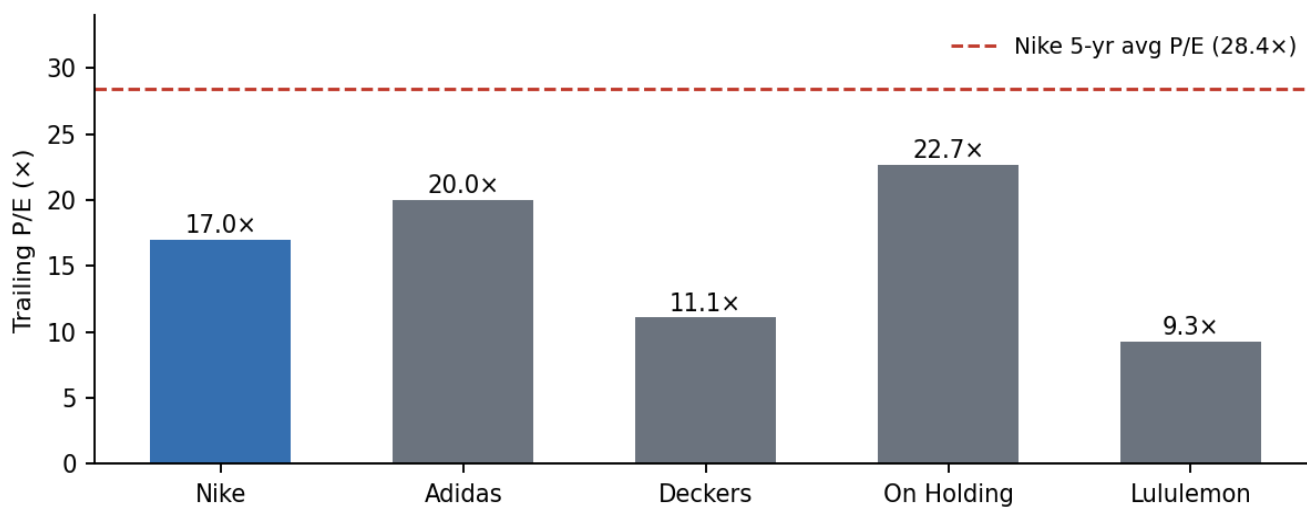
burns and Jordan is deliberately cooled. Product risk is execution risk, not R&D; risk.

6. Competitive landscape

Nike is being squeezed from three directions: **premium performance specialists** taking the serious runner, **Adidas** out-executing it in lifestyle and China, and **value/domestic brands** pressuring price ladders in Asia.

- **Adidas — the benchmark turnaround.** ~€25B market cap, TTM P/E ~18–22×, forward ~14×. H1 2026 China +16% c-c with DTC +22–27%; 14 World Cup kits (vs. Nike's 12); Samba/Gazelle lifestyle momentum sustained. Adidas is the proof that Nike's China problem is fixable — and the competitor most directly absorbing Nike's lost share.
- **On Holding (ONON, \$27.26, –41% YTD)** — \$9.1B cap, TTM P/E ~19–23× after a 40% derating, \$3.2B TTM revenue (+13.5% last quarter), 12.3% net margin, net-cash balance sheet. The Mbappé signing (September 2026) is a declaration of war on Nike's football franchise. Premium, high-growth, but itself facing tariff headwinds and wholesale throttle-down in the Americas.
- **Deckers (DECK, \$78.43)** — Hoka continues to take performance-running share; the stock has derated to 11.1× TTM (5-yr avg 20.4×) on growth deceleration — a warning that challenger multiples compress fast when momentum stalls.
- **Lululemon** — P/E ~9–10×; China +28% but North America soft. Competes at the premium apparel edge where Nike's apparel (+4% in FY26) is actually holding up.
- **Anta / Li-Ning / 361° / Xtep (China)** — the 'guochao' wave has crested: Anta's core brand is low-single-digit and its brand CEO resigned in July 2026 after missing a RMB 60B target by ~40%; Li-Ning grows only via promotions (gross margin down); Xtep's core brand is shrinking. The domestic threat is fragmenting, not consolidating.
- **Puma** — loss-making (negative P/E), 11 World Cup kits, and the symbolic coup of Ronaldo — Nike's own \$1B lifetime athlete — spotted wearing Puma pre-match at the World Cup. Weak financially, but culturally opportunistic.
- **New Balance** — privately held; the quiet share-taker in lifestyle/retro, competing precisely where Nike is pulling back.

Trailing P/E: Nike vs. peers (Sep 2026)

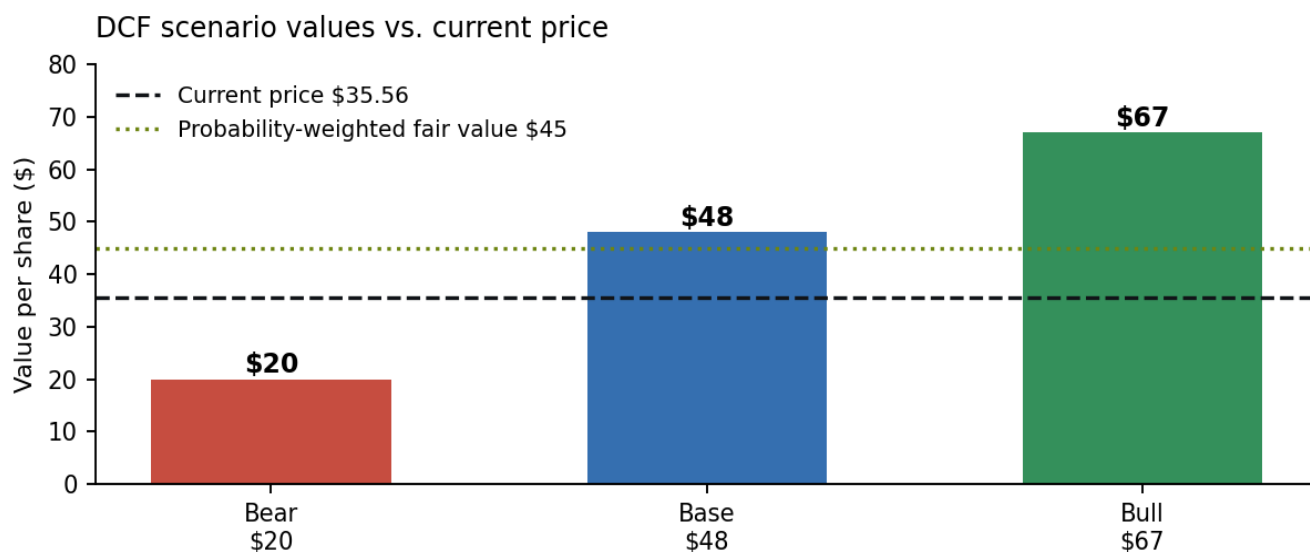


Nike at ~17× TTM trades below Adidas (~18–22×) and On (~19–23×), roughly in line with its trough-earnings reality but well below its own 5-year average of 28.4×. Deckers (11.1×) and Lululemon (~9.3×) show how far consumer multiples can compress on growth scares; Puma is loss-making. Multiples per FinanceCharts/Finnhub/MarketBeat, September 2026; Nike 5-yr avg per FinanceCharts.

7. Valuation

DCF — scenario-weighted (core of our fair value). We value Nike on unlevered free cash flow, appropriate given the net-cash balance sheet (equity value ≈ enterprise value). WACC 8.5% in the base case: cost of equity ~9.1% (beta 1.06, risk-free ~4.3%, ERP ~4.5%) blended with a small weight of ~4.5% after-tax debt cost. FCF bridges from the Section 4 projections (EBITDA less cash taxes, capex ~\$0.7B, normalized working capital).

Scenario	Probability	FCF FY27–30 (\$B)	WACC / term. growth	Value/share
Bear — China keeps declining; Direct falls further; margins stuck ~8%; dividend coverage forces a cut	25%	1.8 / 2.0 / 2.1 / 2.2	9.5% / 2.5%	\$20
Base — FY27 trough, H2 pipeline + wholesale momentum; GM recovers toward 44%; China stabilizes in FY28	55%	2.6 / 3.3 / 4.0 / 4.6	8.5% / 2.75%	\$48
Bull — pipeline becomes cultural hits; China inflects; margins return to 13%+; buybacks resume aggressively	20%	3.0 / 3.9 / 4.8 / 5.6	8.0% / 3.0%	\$67
Probability-weighted fair value	100%	—	—	~\$45



Scenario values vs. the \$35.56 close. The weighted fair value of ~\$45 anchors our \$46 target; the bear case (\$20) quantifies why position sizing must stay small — this is a wide-distribution stock.

Sensitivity. At the base-case cash flows, fair value ranges from ~\$41 (WACC 9.5%, g 2.0%) to ~\$57 (WACC 7.5%, g 3.25%). The valuation is more sensitive to the margin-recovery assumption than to WACC: if FY30 FCF stalls at \$3.5B instead of \$4.6B, base-case value falls to ~\$39 — still ~10% above the current price, but the margin of safety thins materially.

Relative valuation. On TTM GAAP earnings Nike trades at ~17× — a ~40% discount to its own 5-year average P/E of 28.4× (FinanceCharts). But trailing earnings are trough earnings: on ex-tariff EPS (~\$1.58) the multiple is ~22×, and on FY27E consensus it is ~18–21× depending on the estimate vintage — i.e., **optically cheap on GAAP, fairly priced on normalized forward earnings**. EV/EBITDA of ~9.0× (Forbes) sits at the low end of Nike's historical 12–18× range. Versus peers, Nike trades at a small discount to Adidas and On on trailing earnings despite superior scale and a net-cash balance sheet — the market is charging Nike a 'show-me' discount for the China/turnaround execution risk. A return to even a 24× multiple on our FY28E EPS of \$2.70 implies ~\$65, which frames the bull case; we do not underwrite multiple expansion until the November Investor Day gives multi-year targets.

Synthesis → price target. Our probability-weighted DCF fair value is ~\$45. Blending with (a) the peer/own-history multiple cross-check, which supports \$44–52 on FY28E earnings at 20–24×, and (b) the ~\$48 analyst consensus average target, we set a **12-month price target of \$46.00** — ~29% upside from \$35.56 — with a **fair-value range of \$40–52**. The target embeds execution of the H2 FY27 pipeline and China stabilization, but no heroic re-rating: it is ~24× our FY27E EPS and ~17× our FY28E EPS.

8. Key risks

- **Greater China — the binary risk.** Eight straight declining quarters; FY27 is guided to get worse on purpose (distributor reset effective Jan 2027). If the reset fails or guochao re-accelerates, the \$20 bear case dominates. Mitigant: Adidas's +16% proves demand exists; Nike's problem is execution, which is fixable.
- **Tariffs & trade policy.** The \$986M IEEPA recovery is a one-off; underlying tariff headwinds persist through Q1 FY27 and any reversal of the recovery expectation would hit both earnings and the receivable. Vietnam/Indonesia/China sourcing concentration remains a structural exposure.
- **Nike Direct deterioration.** Digital –12% in FY26 and –25% in China in Q4. If wholesale recovery is just channel restocking rather than sell-through, revenue re-accelerates downward in H2.
- **Fashion-cycle risk.** Retro franchises (AF1/Dunk/Jordan 1) drove the last cycle; the new pipeline is unproven at scale. A miss on the 12+ H2 FY27 launches pushes recovery into FY28+.
- **Challenger momentum.** Hoka, On (now armed with Mbappé and entering football), and Adidas are all taking specific, high-value segments. Nike must win back the serious runner while defending lifestyle — a two-front war.
- **Dividend coverage.** \$2.4B of dividends vs. ~\$2.3B of ex-tariff net income; OCF did not cover dividends + capex in FY26. A cut is unlikely given 22 years of consecutive growth and \$9B of cash, but buybacks cannot resume until earnings recover.
- **Execution & finance turnover.** New external CFO (Aug 2026) also serving as interim controller after the CAO's resignation, ~10 weeks before the Investor Day. Turnarounds die in the details; this bears watching.
- **FX & macro.** ~56% of revenue outside the US; a strong dollar and discretionary-spending pressure (noted by management from mid-April) are unhedgeable drags.

9. Final recommendation

We rate Nike a **BUY** with a **\$46.00 12-month price target** (~29% upside) and **High** risk. The rating balances an unusually favorable price — a 12-year low, 17× trough earnings, a 4.6% yield that pays you to wait, and credible early turnaround evidence (wholesale, Foot Locker comps, cost discipline, consistent EPS beats: four straight quarters ahead of consensus) — against a genuinely wide outcome distribution: our bear case is \$20, and FY2027 is explicitly guided down with China getting worse before it gets better.

Positioning. Starter position only (1–2% for most portfolios); this is a turnaround option, not a compounder to back up the truck on. Reserve dry powder for two dated catalysts: **Q1 FY27 earnings (October 1, 2026)** — watch China trajectory, Digital's decline rate, and gross margin ex-items — and the **Investor Day (November 16–17, 2026)**, where multi-year targets will either validate or reset the recovery math. Add on evidence of China stabilization or pipeline sell-through; reassess on a dividend cut, a failed pipeline launch, or further Direct deterioration. Suitable for patient, contrarian capital with a 2–3 year horizon; not for investors who need near-term earnings momentum.

What would change our mind. Upgrade conviction (raise target toward \$55+): sustained China revenue stabilization, wholesale sell-through (not just sell-in) growth, and gross margin ex-items inflecting by Q2 FY27. Downgrade to Hold/Sell: Q1 FY27 miss with China accelerating down, pipeline delays, or finance-function instability persisting past the Investor Day.

10. Sources & methodology notes

All financial figures are from NIKE, Inc.'s Q4/FY2026 earnings release (June 30, 2026) and FY2026 Form 10-K (filed July 15, 2026) unless noted. Market data (price \$35.56 close 9/18/26; 52-week \$35.50–\$76.97; market cap ~\$52.7B; beta 1.06; returns; dividend \$1.63–1.64; yield ~4.5–4.6%) via Finnhub, MarketBeat, Forbes and Robinhood quote pages, September 18–19, 2026. Guidance and call color via the Q4 FY26 earnings call (BigGo Finance transcript summary; Sporting Goods Intelligence). Analyst actions/targets via tickergate, MarketBeat, StockAnalysis, TradingNews, UBS/Argus notes as aggregated September 2026. Peer multiples via FinanceCharts (Sep 18, 2026), Finnhub and MarketBeat. China competitive data via company reports (Adidas H1 2026, Anta, Li-Ning, 361°, Xtep) as compiled September 2026. World Cup kit counts via Seoul Economic Daily/Nikkei (July 2026). Insider buying (Tim Cook, CEO Hill, directors) via market reporting, April 2026. S&P; 100 removal effective September 21, 2026, per S&P; Dow Jones Indices. DCF and projections are the author's estimates with stated assumptions; consensus figures vary by provider and vintage and are shown as ranges where they conflict.

Could not be independently verified: exact FY2025 Greater China revenue base (implied ~\$6.6B from reported growth rates; Nike reports the growth rates, not always the base, in the release text); Nike's precise historical forward P/E series (shown via 5-yr average 28.4× from FinanceCharts); New Balance revenue (private company — discussed qualitatively only).

— End of report —